2.3 Price Controls and Subsidies

Video: Price Controls, Subsidies, and the Risks of Good Intentions (Crash Course Economics)

A Real Example

In the early 1970s, President Nixon set a 90 day price and wage _____ designed to fight _____. Economists were skeptical.

When the government sets prices, economists call this _____.

Two Types of Price Controls

Price Control	What It Sets	Example	Result
Price ceiling	A _____ price	Gas at $1 per gallon	A _____
Price floor	A _____ price	Corn at $7 per bushel	A surplus

With a high price floor on corn, consumers would buy _____ like wheat or rice.

Most economists consider price controls counter-productive, with one debated exception: the _____.

Price Controls on the Graph

Producing less than the amount society wants results in _____, which means the market is not allocatively efficient.

A price ceiling only affects the market when it is below the _____.

In Venezuela, price controls on basic foods and medicine led to long lines, shortages, and _____.

_____ is a price ceiling. Economists agree it reduces the quantity and _____ of available housing.

A price floor above equilibrium creates a _____ and dead weight loss.

Subsidies

A subsidy is a government _____ given to individuals or businesses, often to advance a public goal.

Supporters say farm subsidies give farmers a stable living, limit food price inflation, and make sure we grow enough food.
Many economists argue subsidies may discourage farmers from _____, and many farmers today are not poor.

U.S. agricultural subsidies have been around since the _____.

In 2014, direct payments ended. A large part of farm subsidies now helps farmers pay for _____.

When Might a Subsidy Help?

If a market produces less than society wants, a subsidy could reduce dead weight loss and improve efficiency.

Some economists support subsidies for _____ research. Others argue businesses already have an incentive to innovate and that subsidies create _____.

Subsidies are not automatically good or bad; it depends on the values of society and the market in question.

Think About It

Imagine your city put a price ceiling on rent. Who might be helped, and who might be hurt over time? _____